

Multiple Choice

1. **Answer:** D

Options: A) the market dictates the answers to the fundamental economic questions.; B) competition helps answer the fundamental economic questions.; C) state and local governments respond to the fundamental economic questions.; D) the central government dictates the answers to the fundamental economic questions.

Note: In a command economy, the central government controls and makes all decisions regarding production, distribution, and consumption, thereby dictating the answers to the fundamental economic questions of what, how, and for whom to produce.

2. **Answer:** A

Options: A) the marginal social benefit exceeds the marginal social cost.; B) the marginal social cost exceeds the marginal social benefit.; C) society produces too much of the good.; D) the private benefits from consuming the good exceed the social benefits.

Note: The correct answer is based on the concept that when a positive externality exists, the overall benefit to society from the good exceeds the private benefits received by consumers, leading to a situation where the marginal social benefit, which includes these external benefits, is greater than the marginal social cost, resulting in underproduction in the market.

3. **Answer:** C

Options: A) an increase in government spending; B) a decrease in investment; C) expansionary monetary policy; D) contractionary monetary policy

Note: Expansionary monetary policy, which involves increasing the money supply and lowering interest rates, can stimulate economic activity and investment, thereby offsetting the potential negative effects of crowding out caused by government borrowing during expansionary fiscal policy.

4. **Answer:** D

Options: A) The firm will engage in non-price competition.; B) The firm will realize economic profits.; C) The firm will incur economic losses.; D) The firm will realize zero economic profits.

Note: In the long run, firms in a perfectly competitive market will enter or exit the market until economic profits are driven to zero, as any existing profits attract new firms, increasing supply and lowering prices.

5. **Answer:** A

Options: A) Consumers seek substitutes for sugar and products that use sugar.; B) Consumers consume more sugar and products that use sugar.; C) The supply of sugar increases.; D) Net exports in the United States fall.

Note: When the United States imposes an import quota on sugar, it restricts the

supply of sugar, leading to higher prices, which prompts consumers to seek substitutes for sugar and products that use it to mitigate increased costs.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: If prices are expected to rise more slowly in the future, consumers and businesses may adjust their spending and investment behavior accordingly, which can help stabilize prices and make those expectations a reality.

7. **Answer:** True

Options: A) True; B) False

Note: The statement is true because the nominal interest rate reflects the total return on an investment, including the real return adjusted for inflation, which is represented by the sum of the real interest rate and the inflation rate.

8. **Answer:** True

Options: A) True; B) False

Note: In capitalist economies, prices are set through the interaction of supply, which represents how much of a good or service is available, and demand, which reflects consumers' willingness to purchase that good or service, leading to a market equilibrium where the quantity supplied equals the quantity demanded.

9. **Answer:** True

Options: A) True; B) False

Note: Frictional unemployment reflects the natural transition of workers between jobs, indicating that there will always be some level of unemployment as people search for new positions, thereby making a zero unemployment rate unlikely.

10. **Answer:** True

Options: A) True; B) False

Note: Scarcity arises because human desires for goods and services exceed the available resources to produce them, highlighting the fundamental economic problem of limited resources in the face of unlimited wants.

Long Form Response

11. **Answer:** An increase in the construction of new houses typically leads to a higher demand for housepainters in a competitive labor market. As more homes are built, the need for finishing touches, such as painting, rises significantly to enhance the appearance and protect the structure. For example, if a construction company builds ten new homes, it may require several housepainters to complete the job quickly and efficiently. This surge in demand can result in higher wages for painters as they become more sought after, attracting more workers to the field. Consequently, the labor market may

adjust, with more individuals training to become housepainters to capitalize on the opportunities created by the booming housing market.

Note: correct because an increase in new house construction directly raises the demand for housepainters, leading to potential wage increases in a competitive labor market as contractors seek skilled labor to complete the additional work.

12. **Answer:** When a bank has excess reserves, it means that it has more money than it is required to hold by law. This surplus allows the bank to make additional loans to individuals and businesses. By lending more money, the bank can help stimulate economic growth, as borrowers can invest in new projects, purchase homes, or start businesses. This increased lending can lead to more spending in the economy, creating jobs and boosting overall economic activity. Therefore, excess reserves not only enhance the bank's operations by increasing its potential earnings from interest but also positively impact the wider economy.

Note: correct because it highlights that excess reserves enable banks to lend more money, which facilitates increased borrowing, spending, and investment in the economy, ultimately driving economic growth and job creation.